AUDIT & ASSURANCE

Suggested Answers
November-December 2024

Answer to the Question# 1(a):

While dealing with an audit engagement, auditors must keep one eye on the potential threat to breaching fundamental principles. Let alone others, self-interest threat is naturally inherent to all types of engagements a professional accountant usually deals with. So, while approaching to accept an engagement, particularly when audit, auditor is expected to carefully evaluate available information underlying proposed audit engagement.

In the given case, we see the bank was struggling with some issues of scandals published in the national level dailies. As a result, the management while dealing with auditors would naturally apply trick diverting auditor's attention from the points of scandal related news. When the engagement team was selecting branches to be covered as part of the overall audit methodologies, they should have collected information with regards to scandal and related branches. On the other hand, in contrary to independent selection, they depended upon the offer of the management. Seemingly, the management grabbed this opportunity and made a super lucrative offer requesting to carry out audit at New York branch which is insignificant contributor to the bank's revenue. On the other hand, the New York branch does not appear to be spotted as alleged branch in the scandal under discussion.

So, accepting this offer, the auditor has been caught in the gifts and hospitality trap where such an offer may create threats to some fundamental principle.

Answer to the Question# 1(b):

Beside self-interest threat there may be a threat to professional competence and due care being fundamental principle in circumstances where the second opinion is not based on the same set of facts that were made available to the existing accountant or is based on inadequate evidence. So, prior to accepting some actions may be considered to address potential threats including self-interest threat as follows:

- With the client's permission, obtaining information from the existing or predecessor accountant.
- Describing the limitations surrounding any opinion in communications with the client.
- Providing the existing or predecessor accountant with a copy of the opinion.

If an entity seeking a second opinion from a professional accountant will not permit the accountant to communicate with the existing or processor accountant, the accountant shall determine whether the accountant may provide the second opinion sought.

Answer to the Question# 1(c):

Several quality management issues are raised in the scenario:

Engagement partner

An engagement **partner** must be appointed to each audit engagement undertaken by the firm, to take responsibility for the engagement on behalf of the firm. Assigning the audit to an experienced audit manager is not sufficient.

The lack of an audit engagement partner also means that several of the requirements of ISA 220, about ensuring that arrangements in relation to independence and directing, supervising and reviewing the audit, are not in place.

Conflicting views

In this scenario the audit manager and senior have conflicting views about the valuation of inventory. This does not appear to have been handled well, with the manager refusing to discuss the issue with the senior.

ISA 220 requires that the audit engagement partner takes responsibility for settling disputes in accordance with the firm's policy in respect of resolution of disputes required by ISQM 1. In this case, the lack of engagement partner may have contributed to this failure to resolve the disputes. In any event, at best, the failure to resolve the dispute is a breach of the firm's policy under ISQM 1. At worst, it indicates that the firm does not have a suitable policy concerning such disputes as required by ISQM 1.

Answer to the Question# 1(d):

Auditor's responsibilities

- To identify material misstatements in the financial statements
- Plan, perform and evaluate work in order to have a reasonable expectation of detecting material misstatement in the financial statements
- No obligation to prevent fraud although it may act as a deterrent

MD's perception

- Auditor responsible for ALL fraud
- Lacks an understanding of materiality
- Directors often rely on auditors for monitoring they should undertake themselves

Answer to the Question# 2(a) (i):

Elements of the assurance engagement with Kingston Ltd:

Three party relationship:
The engagement is a three-party relationship. The three parties are Chowdhury & Co. Chartered Accountants the auditors, the management of Kingston Ltd and the shareholders who are the interested parties.

Subject matter:

The subject matter of the engagement is the financial statements for the year ended 31 December 2023 which are the subject of the audit.

Criteria:
This is the basis upon which the financial statements are prepared. This relates to the appropriate financial reporting framework used by management and the international financial reporting standards upon which the financial statements should be prepared.

Evidence:
This is the sufficient appropriate audit evidence which will be gathered during the audit by the audit team.

Report:
This is the outcome of the audit in which the opinion is contained and reported to the shareholders.

Answer to the Question# 2(a) (ii):

Ethical matters in the audit of Kingston Ltd.:

Ethical matters in the scenario

- The offer for a three-day holiday to the person responsible of client acceptance and the rest of the audit borders on matters of integrity on the part of the one responsible for client acceptance and self-interest on the part of the rest of the audit team. Receiving gratification on accepting a client shows lack of integrity. For the audit team an offer of a three-day holiday will impact the objectivity of the audit team in conducting the audit.

- M Ahmed the Chief Accountant of Kingston Ltd. was part of the resolution to import materials from England knowing that the country of origin is Srilanka. M Ahmed knows that it is fraudulent to show that the materials originate from England and shows lack of integrity.

- The fact that M Ahmed is a member of the tender committee to award a transport company where a company his wife has shares in has also submitted a bid creates a conflict of interest to M Ahmed. He will not be objective and he has a self-interest threat.

- Underwriting the shares of Kingston Ltd. will result in a self-interest threat on the part of the firm that provides assurance to the same company. Objectivity in dealing with this company will be impaired.

- Request for a short-term loan by Kingston Ltd. creates a self-interest threat on the part of the assurance provider. The objectivity of the assurance firm and the audit team will be impacted by the loan that the firm will give Kingston Ltd.

- The lack of ethical code of conduct by Chowdhury & Co. Chartered Accountant is breach of ethical guidelines by the firm. Ethical guidelines are applicable to the firm as much as they apply to staff who work for the firm.

Answer to the Question# 2(b):

Evaluation of quality control systems in Chowdhury & Co. Chartered Accountants:

Matter of quality control	**Explanation**
1. **Firm leadership for quality control.**	While the Managing Partner of Chowdhury & Co. Chartered Accountants assigns jobs to the Partners and other audit team members, it would appear the firm does not have a quality control champion who should be familiar with the provisions of ISQM 1 and as required by this standard.
2. **Lack of ethical code of conduct**	The firm does not have a code of ethics in place contrary to the provisions of quality control requirements at the firm level. In order to conduct quality audits, Chowdhury & Co. Chartered Accountants should have a code of ethics similar to the fundamental principles which all staff should comply with.
3. **Client acceptance procedures.**	The firm is compliant with regards acceptance and continuance of client relationships. There is someone responsible for this and they are required to complete a checklist which will form a basis of accepting a client or continue with the engagement.
4. **Human Resources**	The firm conducts annual staff appraisals at which training needs are identified and training arranged in response. This is in order to ensure that the staff have the necessary skills and competences to conduct quality audits and is in compliance with the provisions of ISQM1 regarding human resources in practice firms.
5. **Engagement performance**	The requirement of ISQM 1 on engagement performance requires that practice firms should have in place standard engagement procedures that should be available to all staff which should be followed in the conduct of carrying audits. Chowdhury & Co. Chartered Accountants does not have a procedural manual and audit staff depend on previous year audit working appears to plan for new audits.

Answer to the Question# 3(a):

The key planning document is called the overall audit strategy. However, in devising complete planning memorandum, there are certain critical requirements the auditor must bear in mind are:

Involvement of Key Engagement Team Members

- The engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members.

Preliminary Engagement Activities

The auditor shall undertake the following activities at the beginning of the current audit engagement:

(a) Performing procedures required by ISA 220 regarding the continuance of the client relationship and the specific audit engagement.

(b) Evaluating compliance with relevant ethical requirements, including independence, in accordance with ISA 220

(c) Establishing an understanding of the terms of the engagement, as required by ISA 210.

Planning Activities

- The auditor shall establish an overall audit strategy that sets the scope, timing, and direction of the audit, and that guides the development of the audit plan.
- In establishing the overall audit strategy, the auditor shall:
  (a) Identify the characteristics of the engagement that define its scope.
  (b) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required.
  (c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts.
  (d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and
  (e) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Documentation

- The auditor shall include in the audit documentation:
  (a) The overall audit strategy.
  (b) The audit plan; and
  (c) Any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

Answer to the Question# 3(b):

The key to a successful and standard audit is understanding the entity and its environment. In order to understand the entity and its environment, three key words may take the lead are:

Why

It is important to understand the client's business:

- To be able to assess risk.
- To be able to comply with auditing standards.

How

Understanding of the client's business can be obtained from:

- External sources of information (industry surveys, publications etc.)
- The firm's permanent files, correspondence files, previous audited financial statements
- Client's personnel, manuals, correspondence, management accounts etc.

Auditors would carry out a combination of following procedures to understand the business:

- Inquiries of client personnel
- Analytical procedures
- Observation and inspection

What

- The environment under which the business is operated.
- The industry, the business belongs to
- The governing laws and regulations

Answer to the Question# 3(c):

From the facts described in the case, auditor has to focus on certain specific risk factors to make sure that the audit is concluded to satisfactory opinion. The factors are:

Management override

Auditors need to assess the risk of management override during the planning stage of the audit and to design appropriate audit procedures in response. Those procedures should include:

- Testing journal entries to ensure they are appropriate.
- Review of accounting estimates to judge whether management bias has been applied.
- Scrutinizing significant and unusual transactions

Journals

Fraudulent activities can be perpetrated by inappropriate or unauthorized journal entries, especially in organisations where internal controls are poor. Such entries may include:

- Entries made to unrelated, unusual or seldom used accounts.
- Journals made without accounts numbers.
- Journals put through by individuals who do not normally make journal entries.

Revenue recognition

Auditors should be aware of the risks of material misstatement due to incorrect revenue recognition. Such a risk is even higher in organisations where management reward is linked to revenue or profit.

Answer to the Question# 3(d):

There are extracts taken from the financial statements from two consecutive years which give some indications as regards operational performance as well as the financial health of the company. In the given description, we see that the company has started facing competition from the traders as well as newly introduced brand shops. So, we may analyze financial information and see if there has been any indication of risk left for auditors to take note of in their planning documents.

1. Revenue has increased by 1% while the cost of goods sold has shot up by 4% resulting in a remarkable decrease in the gross profit.
2. Gross Profit margin has been dropped to 45% from the corresponding 47% in the year before.
3. Selling expenses have surprisingly increased by about 11% while administrative expenses have gone up by about 8%. This may mean that the company has been struggling to maintain their footage by the pressure of the competitors.
4. Receivable realization appears to have been slower resulting in pressure on the cash flow. The company seems to have been facing challenge settling creditors dues in time.

The analyses above clearly indicate that the company has not been able to perform as it did in the last year and probably in the years before. Under such circumstances, management tends to present artificially rosy pictures by manipulating figures in financial statements. So, care must be taken while performing the audit that management is more aware about formulating appropriate strategies to regain their lost market and sales growth rather than putting in effort to hide temporary failures.

Answer to the Question# 4:

The non-compliance in auditors' report and audited financial statements which have been identified by the Central Bank as regulator in one hand a related party disclosure and on the other hand a contingent liability i.e. Off-Balance Sheet item.

As per international standards on Auditing (ISA) and prevailing local law the management of the entity is responsible to prepare financial statements incorporating all the disclosures. The issue of Omex Bank Plc auditors' report and audited financial statement as identified by the Central Bank is a lack of disclosure of contingent liability with the related party. If any 'on balance sheet' item remains unrecorded, the auditor may be able to identify such omission through applying theory of double entry system of accounting, but if the omission is relating to 'off balance sheet' item, that is hardly possible for the auditor to identify.

However, as per ISA-550 auditors' responsibility as regards to contingent liability with related party is as under:

As per paragraph 12 of ISA-501 (Audit evidence specific consideration for selected items) the instruction for the auditor is:

"The auditor shall request management and where appropriate, those changed with governance to provide written representation that all known actual or possible litigation and claims whose effects should be considered when preparing the financial statements have been disclosed to the auditor and accounted for and disclosed in accordance with the applicable financial reporting framework."

Again as per paragraph 26 of ISA-550 (Related Parties):

"where the applicable financial reporting framework establishes related party requirements, the auditor shall obtain representation from management and, where appropriate, those changed with governance that:

a) They have disclosed to the auditor the identity of the entity's related parties and all the related party relationships and transactions of which they are aware; and
b) They have appropriately accounted for and disclosed such relationships and transactions in accordance with the requirements of the framework."

So, from the contents of International Standard on Auditing, one of the most important audit evidences for the issues raised by the Central Bank is proper letter of representation. If the auditor can prove that during the course of the audit they have obtained such evidence, in that case despite having lack of disclosure in the audited financial statement the auditor will not be liable.

Answer to the Question# 5(a):

Areas where professional skepticism should be applied:

1. The increase in the revenue figure from TK2.5 million in previous years to TK50 million currently is an area where professional skepticism should be applied. There is a risk that transfers of desks to the provincial outlets could be recognized as revenue when the stocks could still be held by the outlets.

2. The use of standard costing to value inventory is allowed by IAS 2. The audit team should apply professional skepticism when performing audit procedures on the standard costs used to ensure that only relevant costs are included otherwise inventory could be overstated which could result in an overstatement of inventory and the financial statements.

3. The use of professional skepticism should be applied in placing reliance on the written representations obtained to support evidence obtained during the audit.

4. Professional skepticism should be applied in performing audit procedures on the accounting estimates. There is a risk of management bias in determining accounting estimates.

5. The auditors should use professional skepticism with regards to related parties and related party transactions. The fact that management did not disclose the related party relationship that exists may suggest the existence of other related parties not disclosed. During the cause of the audit the audit team should be alert for the existence of other related parties.

Answer to the Question# 5(b):

Justification in changes in the engagement letter:

1. The fact that the company obtained a listing on the securities exchange justifies the need to change the terms of the engagement. Previously the company was a private company and the accounting requirements may have been different considering the new status of being a listed company.

2. The change in management of Azad Products Ltd will necessitate changes in the engagement letter. This is to avoid any misunderstanding with the new management because the initial engagement letters will have been issued when there was different management.

3. The change in the scope of work to be performed by the auditors from auditing the financial statements to including actuarial services necessitates a change in the contents of the engagement letter.

Answer to the Question# 5(c) (i) (ii) & (iii):

(i) Control activities	(ii) Control objectives	(iii) Tests of control
1 Reorder levels at which point purchase initiated.	To avoid stock-outs by initiating purchase so that goods arise before stores run out.	For a sample of stores items confirm by inspection that re-order levels have been set.
Pre-numbered purchase requisition.	So that purchases are made on the strength of accountable documents and no unauthorized purchase can be initiated and acted upon.	Inspect used and unused purchase requisitions and confirm that they are pre-numbered.
Authorization of purchase requisitions by the Stores Manager	So that no unauthorized purchases are initiated and acted upon.	For a sample of purchase requisitions raised inspect and confirm they are authorized by the Store Manager.
Authorization of purchase orders by the Purchase Manager	To prevent unauthorized purchase and committing the company to unauthorized purchases.	For a sample of purchase orders raised in the past, examine and confirm that they were approved by the Purchasing Manager.
Purchases above TK50,000 subject to tender committee approval.	To ensure purchases are made considering the authority given and that no purchase above limit without following tender procedure.	For a sample of purchases above TK50 000 examine the supporting documents and confirm supposed by minutes of a dully convened tender committee.
Goods Received Notes (GRN) numbered and raised for all goods received.	To ensure that the company will only pay for goods received. Further to ensure that no payment will be made based on a fake GRN.	For a sample of purchases made in the past confirm that one of the supporting documents is a pre-numbered Goods Received Note.
Quality controls on receipt of goods and evidenced in writing.	To ensure the company does not receive defective or damaged goods.	For a sample of Goods Received Notes confirm goods were inspected by confirming that relevant part on the GRN for inspection is signed by the responsible person for quality control.
All payments for goods supported by relevant payment copies of the GRN, Purchase order and the original copy of the invoice.	To avoid duplicate or fraudulent payments using the same documents already used in another payment.	For a sample of paid amounts inspect the supporting documents and ensure they are the correct copies and photocopies used to support a payment.

Answer to the Question# 6(a) (i):

The situation which has been taken placed in Gama Finance and Investment Company Limited (GFICL) and based on that the argument as presented by the Chief Financial Officer (CFO) of GFICL is not acceptable.

Answer to the Question# 6(a) (ii):

Due to fall of capital market the investment price has reduced. As per International Financial Reporting Standard-09, a financial asset shall be measured at fair value through profit or loss unless it is measured at amortized cost or at fair value through other comprehensive income. However, an entity may make an irrecoverable election at initial recognition for particular investments in equity instruments that would otherwise be measured at fair value through profit or loss to present subsequent changes in fair value in other comprehensive income. So, if the fair value of an investment comes down by less than cost price, in that case the investment should be presented at fair value and difference of cost and fair value need to be charged in profit or loss account. In the case of GFICL if the difference amount is material and the amount is not charged full in statement of profit or loss the financial statement will not give true and fair view. Since CFO did not agree to charge the loss amount in full in statement of profit or loss, the auditor had rightly drafted the audit report with qualified opinion.

CFO did not agree with the auditor as he had written letter to Securities and Exchange Commission for approval not to change the full amount, rather requested for deferral and the response from SEC remained pending. It is mentionable that as a regulator Securities and Exchange Commission may give deferral for provision but due to such deferral, the accounting theory will change, such deferral cannot fulfill the shortage of provision and that will not make the financial statements true and fair.

CFO also argued that due to having no response from Securities and Exchange Commission, the issue remained uncertain.

The paragraph, as of ISA-706, which has been referred by CFO cannot waive the auditor from modifying the opinion. This uncertainty means whether there remains any litigation pending with the court or any non-compliance or violation of regulation for which the entity may be penalized by the court or regulators.

So, the argument which has been given by the CFO in favour of incorporation "Emphasis of Matters" paragraph instead of modifying the opinion is not acceptable.

Answer to the Question# 6(b) (i):

Importance of going concern

(1) The 'Going concern basis of accounting' is an accounting concept. It is presumed to apply to any financial statements, unless contrary disclosure is given.

(2) The amount at which assets and liabilities are included in the statement of financial position may be significantly different where the company is not a going concern. For example:

– Assets will be valued on a break-up basis.

– Additional provisions (eg, for closure costs) may be required.

(3) The classification of items will differ where financial statements reflect a break-up basis. For example, non-current assets/liabilities reclassified as current.

(4) The risk of failure is a real threat to many businesses and the failure of the auditor to give any warning may result in litigation/adverse publicity.

Answer to the Question# 6(b) (ii):

Audit work regarding going concern

To ascertain whether Sparrow Ltd can meet its debts as they fall due:

(1) Obtain a written statement (management representation) from the managing director confirming their considered view that the company is a going concern.

(2) Review management's profit and cash flow forecasts for the next financial year to ascertain, inter alia, the company's working capital requirements.

(3) Confirm the appropriateness of relevant assumptions (eg, average trade receivables collection period) by comparison with ratios obtained from analytical procedures.

(4) Request a statement of borrowing facilities to be included in the bank confirmation letter.

(5) Review the day-to-day utilisation of the bank overdraft facility and its proximity to the current limit.

(6) Obtain a loan confirmation from the leasing company and confirm that all instalments to date have been met.

(7) Discuss with the credit controller (or financial accountant) the current pressures under which the company is being placed by larger customers who may be seeking extended credit terms.

(8) Undertake sensitivity analysis on client's forecasts to variable factors both within the managing director's control and outside it.

(9) Review the level of trade and other payables (including VAT and TAX and whether any penalties are being incurred) after the reporting date and the extent to which they are financing short-term needs.

To ascertain whether Sparrow Ltd can otherwise continue in business (ie, return to profitable trading):

(1) Obtain a copy of tenders submitted/correspondence to date concerning any new contracts currently being negotiated and monitor all subsequent developments.

(2) Review drivers' logs, reports on warehouse utilisation etc, and discuss with management how current spare capacity will be utilised by new contracts obtained.

(3) Review the terms of the contract with the long-standing customer which was lost and the grounds on which it was lost to a competitor.

(4) Verify reasonableness of estimates arising from closure of workshop (eg, concerning costs of 12 external servicing of the transport vehicle fleet).

(5) Obtain written confirmation from the company's legal adviser as to whether or not there are any pending legal claims (eg, in respect of inventory losses from warehouses, late deliveries, damage to goods in transit etc.).

Answer to the Question# 6(b) (iii) (1):

Agree with director's assertion

If doubt surrounding the going concern status of the company is minimal, disclosure in the financial statements would not be required in order to give a true and fair view. The auditor's opinion would therefore be unqualified.

If the business is material that its inability to trade could affect the going concern status of the company (unlikely), the matter should be disclosed in the financial statements. If adequate disclosure is made in the financial statements, the auditor should express an unqualified opinion but modify their report by adding a paragraph headed 'Material Uncertainty Related to Going Concern' that:

- highlights the existence of a material uncertainty relating to the event or condition that may cast significant doubt on the company's ability to continue as a going concern
- draws attention to the note in the financial statements that discloses these matters

Answer to the Question# 6(b) (iii) (2):

Disagree with director's assertion

The form of auditor's report will depend upon the materiality of the business and extent to which the uncertainty has been disclosed in the financial statements.

As the director appears confident about the future of this business, it is unlikely that adequate (if any) disclosure has been made. The auditor's opinion would therefore be qualified on the grounds of material misstatement due to the inadequate disclosure of the uncertainty.

Answer to the Question# 6(c):

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with ISA 315 (Revised).

(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(iii) The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined in accordance with respective conditions of ISA-701 were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

---The End---